favor companies with so-called *lazy* balance sheets and hidden or unfulfilled potential due to inappropriate capitalization. Activists target these undervalued, cash-rich companies, seeking to improve the intrinsic value and close the market price discount by reducing excess cash through increased payout ratios. We analyze the returns to these metrics and apply them to two real world examples of activism. The power of these metrics is that they identify good candidates for activist attention, and if no activist emerges to improve the unexploited intrinsic value, other corrective forces act on the market price to generate excellent returns in the meantime.

The book is intended to be a practical guide that canvasses the academic and industry research into theories of intrinsic value, management's influence on value, and the impact of attempts to unseat management on both market price and value. Each chapter tells a different story about a characteristic of deep value investing, seeking to illustrate a genuinely counterintuitive insight. Through these stories, it explores several ideas demonstrating that deeply undervalued stocks provide an enormous tail wind to investors, generating outsized returns whether they are subject to activist attention or not. We begin with former arbitrageur and option trader Carl Icahn. An avowed Graham-and-Dodd investor, Icahn understood early the advantage of owning equities as apparently appetizing as poison. He took Benjamin Graham's investment philosophy and used it to pursue deeply undervalued positions offering asymmetric returns where he could control his own destiny. More than any other, Icahn's evolution as an investor mirrors the evolution of activism. In the following chapters we step through the looking glass to examine the theories of deep value and activist investing from Graham to Buffett to Icahn and beyond.